SCALER SCHOOL OF BUSINESS X IIM JAMMU सा विद्या या विमुक्तये

IMAGINATIVE 3.0

The Profitability Trap: Building a Unit-Economics-Positive Q-Commerce Product

The Team:



Harsh Makwana
Ops & monetisation lens



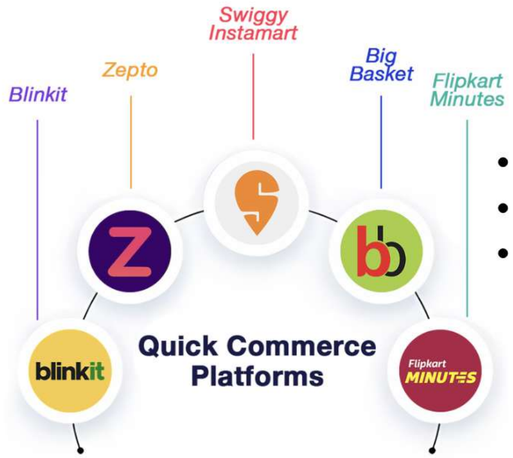
Nirmay Bhavsar
Growth & acquisition

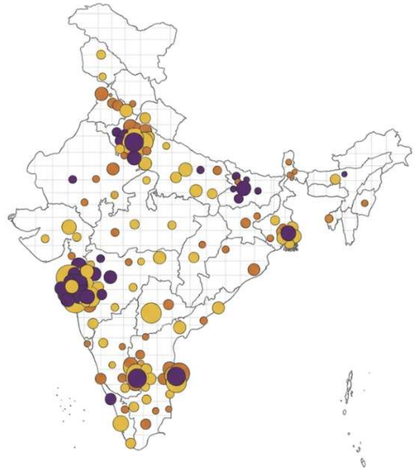


Akshay Sinha
Product strategy & roadmap



Mahnoor Mistry
Market Research





Industry Overview

- India's quick commerce market crossed $5B+ GMV in 2025, growing at 80% YoY.
- Platforms compete aggressively on speed, discounts, and assortment.
- Despite strong demand, unit economics remain negative for most players.

Business model

Revenue Streams
- Product margin (8–15%)
- Delivery fee
- Brand promotions & placement
- Subscription programs

Cost Drivers
- Dark store operations
- Delivery partner payouts
- Discounting & CAC
- Inventory holding cost

Executive Summary

Our strategy targets 4 levers, AOV, density, organic retention, smart CAC to turn CM2 positive in 6 months.

↑ AOV | ↑ Rentention | ↑ Density | ↓ CAC

GMV is growing and every other metric is broken

MARKET CONTEXT:

3 MAJOR PLAYERS

Blinkit | THE UNDISPUTED LEADER

- **Adjusted EBITDA Positive** (+₹4 Cr in Q3 FY26)
- **40-50%+ Market Share**
- **2,027 Dark Stores** Target 3,000+ by March 2027
- **20.8M Monthly Active Users** (+134% YoY)
- **Ecosystem Lock-in** through **Zomato**

Goldman Sachs projecting >100% of industry EBITDA profits (FY27)

Zepto | RAPID GROWTH, PATH UNCERTAIN

- **FY25 Revenue: ₹9,668 Cr** (+129% YoY Growth)
- **Net Loss: ₹3,367 Cr** (+177% Widened)
- **IPO Timeline:** Targeted for July–September 2026 ($7B valuation)
- **~900** Dark Stores vs. 2,027
- **AOV of ~₹550–620** (lags peers)

Swiggy Instamart | SHARP GROWTH, LONG ROAD

- **Sharpest AOV Growth** (+40% YoY to ₹746 in Q3 FY26)
- **Maxxsaver strategy and megapod format** (40,000–50,000 SKUs)
- **EBITDA Loss** in one quarter: ₹908 Cr
- Contribution Margin: -2.5%
- **Target Contribution Margin Breakeven** (only by Q1 FY27)

BLINKIT BENCHMARK

Metric	Your platform	Blinkit
AOV	₹350	₹700–750
CM/order	–₹8	+₹30
DCPO	₹55	~₹28 (mature)
D30 retention	28%	~40%+

Instamart Maxxsaver: AOV ₹499 → ₹746 in 6 quarters (+49%).

Blinkit proof point AOV is fixable.

THE 4 ECONOMIC LEAKS

Low AOV

Avg basket ₹350 · Single-item checkout

Promo dependency

D30 retention 28% · Churns when promo ends

Low order density

<250 orders/store/day · Fixed costs uncovered

High DCPO

₹55/order last-mile · No route batching

Scaling GMV without fixing unit economics accelerates losses, not profits.

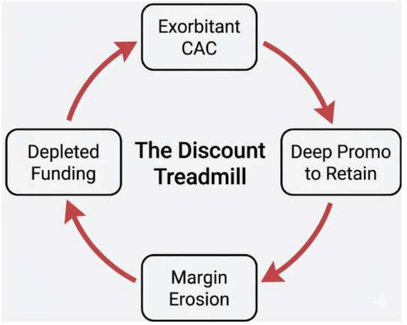
THE DISCOUNT TREADMILL

High CAC (Rs 300-350):
Expensive top-offunnel acquisition.

Massive Churn: 70% churn before reaching the 5th order, requiring new capital iniections to restart the cycle.

Promo to Retain: 62% of churned consumers switch purely for cheaper pricing.

Margin Erosion: A customer acquired through a 50% discount coupon requires "11+" repeat orders to break even.



Source: localCircles, AKOI, Sources: Eternal Q3 FY26 · Swiggy Q3 FY26 shareholder letter · India Q-Commerce Market Report · Bernstein

Not all users are equal and treating them equally is why margins bleed.

RK

Rohan Kapoor

32 · Senior Product Manager · Bangalore

Power User — Profitable

PSYCHOGRAPHICS

Time-poor, money-comfortable | Optimiser mindset | Habitual, routine-driven | Low tolerance for friction

CORE PAIN

Runs out of daily essentials mid-week — milk, eggs, curd — but has zero bandwidth to plan. Hates the cognitive load of remembering what to restock.

PURCHASE TRIGGER

Opens app reactively when something runs out. Places 4–6 orders/week with AOV ₹480+. Doesn't look for discounts — looks for speed and reliability.

WHAT HE WANTS FROM THE PRODUCT

Auto-replenishment, saved carts, predictable 10-min delivery. Values a frictionless subscription over a coupon.

5.2x	₹490	High
Orders/week	Avg AOV	LTV

Expand Rohan segment (protect) →

PM

Priya Menon

27 · Marketing Executive · Mumbai

Occasional — Convertible

PSYCHOGRAPHICS

Aspiration-driven | Social proof sensitive | Comfort-seeker | Lightly price-conscious

CORE PAIN

Uses the app for late-night cravings or emergency top-ups, not as a primary store. Buys one item at a time — chips, a soft drink — and doesn't think about the app between events.

PURCHASE TRIGGER

Emotional trigger — tired evening, study session, sudden guests at home. Orders impulsively, 1–2 items, AOV ₹180. Mildly engaged but no loyalty signal established.

WHAT SHE WANTS FROM THE PRODUCT

Discovery — surface bundles she didn't think to buy. Aspirational SKUs (matcha, exotic snacks). Wants to feel like a smart, elevated shopper — not just an errand-runner.

1.4x	₹185	Med
Orders/week	Avg AOV	LTV

Convert Priya via bundle intelligence →

AS

Arjun Sharma

24 · MBA Student · Hyderabad

Promo Hunter — Margin Risk

PSYCHOGRAPHICS

Deal-maximiser | Multi-app switcher | Socially networked | Zero brand loyalty

CORE PAIN

Budget-constrained but high-frequency consumer. Systematically tracks offers across Blinkit, Zepto, and Swiggy Instamart. Churns the moment a promo expires — platform has no pull beyond the discount.

PURCHASE TRIGGER

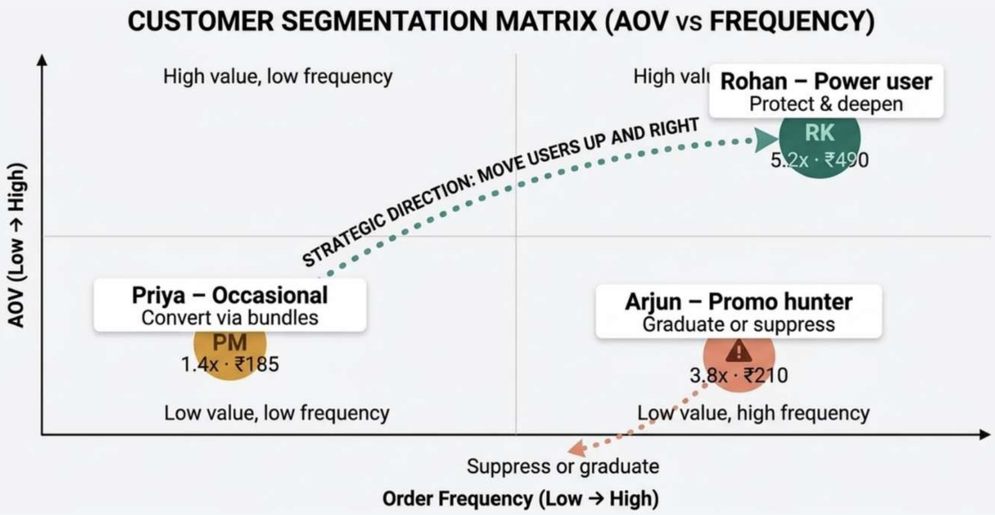
Push notification with a discount code, cashback offer, or "Free delivery today" banner. Orders 3–4x/week during promo windows, drops to near-zero without them.

WHAT THE PRODUCT MUST DO

Either graduate him to value-based loyalty (streak rewards, Q-Pass at student pricing) or stop subsidising his orders. The worst outcome is retaining him at full discount cost.

3.8x	₹210	Neg
Orders/week	Avg AOV	LTV

Arjun with Q-Pass or suppress promo exposure



Assumption based analysis:

Rohan
CAC: ₹180, Monthly orders: 20+ Monthly margin: ₹460
LTV:CAC = 46x
Verdict: Every ₹1 spent acquiring Rohan returns ₹46

Priya
CAC: ₹220 · Monthly orders: 6 · Monthly margin: ₹90
LTV:CAC = 5x
Verdict: Breakeven after 2.4 months, convertible with one product fix

Arjun
CAC: ₹260 · Monthly orders: 15 (promo only) · Monthly margin: −₹180
LTV:CAC = −0.7x
Verdict: Every order loses money. Worst outcome is retaining him.

Source: Assumptions and calculations: Author's own analysis. Persona frameworks derived from behavioral insights in Scribd — "Quick Commerce and Customer Retention: A Study of Blinkit and Zepto" (Dec 2025)

Four distinct problems. Four distinct fixes. One coordinated attack.

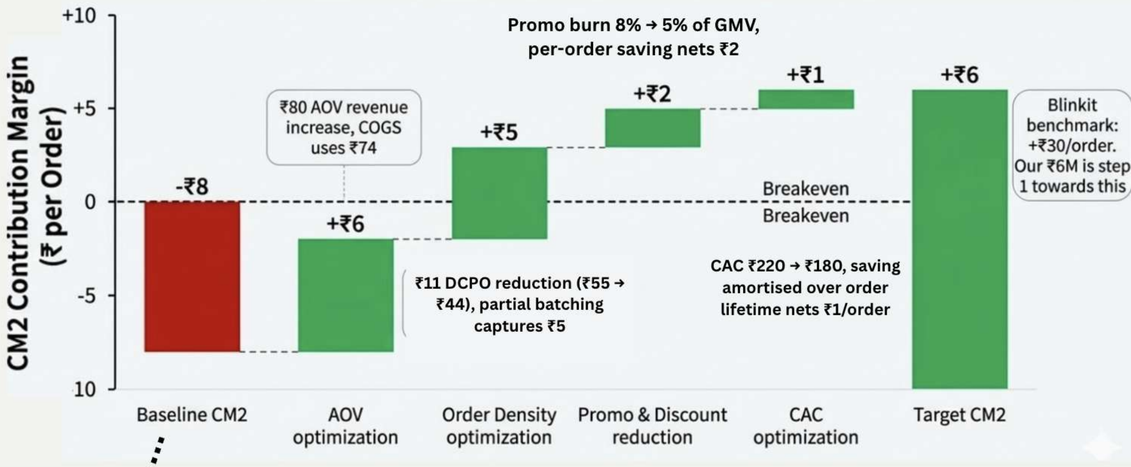
ROOT CAUSE DIAGNOSIS — PM CONTROLLABILITY MATRIX

Lever	Root cause	PM control	Priority
Low AOV	No discovery; app optimised for speed not basket-building	High	1st — solve first
Promo dependency	Value prop = price; no identity-based retention hook	Medium	2nd — product plays
Low order density	Single-item orders not batched; no off-peak incentive	Medium-low	3rd — ops align
High DCPO	Low density → inefficient routing; no demand prediction	Low	Ops focus — inform

CONSTRAINTS BOX:

⛔ **Dark Store Count, No change in delivery SLA (10-min promise stays), No reduction in SKU depth (category breadth maintained), Budget neutral: promo cuts fund feature investment**

CM2 CONTRIBUTION MARGIN (PER ORDER) RECOVERY PATH



KEY TAKEAWAY & ASSUMPTION

- At 100,000 orders/day: Today: −₹8 × 1,00,000 = ₹8,00,000 lost every single day
  After 6 months: +₹6 × 1,00,000 = ₹6,00,000 earned every single day Swing ₹14,00,000 per day. ₹51 Cr per year.
- Hence, we chase our North Star Metric as CM2

CM2 = Revenue from order − Cost of goods − Delivery cost − Promo discount

Assumptions table with a Blinkit benchmark comparison:

Metric	Your platform (now)	Your target (6M)	Blinkit (Q3 FY26)
Low AOV	₹350	₹430	₹700–750
Promo dependency	–₹8	+6–8	+30
Low order density	₹55	₹44	~ ₹28
High DCPO	28%	40%	~40%+

₹80 AOV lift + 20% density improvement alone turns CM2 positive. Instamart's Maxxsaver proved it in 6 quarters.

Source: Blinkit/Swiggy/Zepto public filings and investor letters (Q3 FY26)

Four pillars. Each mapped to a root cause. Each with a real-world proof point.

STEP 1: IDEATION → STEP 2 - PRIORTIZATION → STEP 1 - FEASIBILTY & VERDICT

IDEAS	IMP. LEVERS	IMPACT ON CONTRIBUTION MARGIN	6M FEASIBILITY	STRATEGIC VERDICT
Geo - Cluster Order - When a user places an order, customers within a small radius (for example 100–200 meters) receive a notification such as: "Someone near you just placed an order. Add yours in the next 5 minutes and get free delivery."	↑ Order Density ↓ Cost per Order	High – improves order density and lowers delivery cost per order	Medium	Pilot in Dense Areas
Premium Product Drops – Limited-time drops of premium products (e.g., Olaplex, imported chocolates, luxury skincare) at attractive pricing to create urgency, word-of-mouth, and attract high-spending customers.	↑ AOV	Medium – drives premium purchases and word-of-mouth	High	Launch Quickly
Occasion-Based Gifting – Dedicated category for last-minute birthday, anniversary, or celebration gifts such as cakes, chocolate hampers, perfumes, and curated gift bundles.	↑ AOV	Medium – bundle purchases increase order value	High	Launch Quickly
Smart Cooking Bundles – Recipe-based ingredient packs (e.g., "15-minute butter chicken kit", "high-protein dinner pack") allowing users to add all ingredients to cart in one click.	↑ AOV	High – increases basket size through bundled purchases	High	Implement Immediately
AI Intent-Based Search – Search prompts based on needs rather than products (e.g., "late-night snacks that wont hamper my sleep", "high-protein breakfast", "game night with friends") that convert intent into bundles.	↑ AOV	Medium – improves product discovery and upselling	High	Pilot Feature
In-App Viral Mini Games – Simple daily games integrated into the app with rewards such as free delivery or coupons for winners to drive engagement and habit formation.	↓ Promo-Dependency ↑ Density	Low – engagement improvement but indirect revenue impact	Low - Medium	Experiment Later
Campus & Society Smart Vending Machines – Smart vending machines placed in college campuses and residential societies acting as micro-fulfillment points for instant purchases.	↓ Cost per Order ↑ Density	Medium – improves density but requires infra investment	Low	Long-Term Bet
BNPL, EMI & Bank Offers – Introduce Buy-Now-Pay-Later options, EMI payments, and card offers (HDFC, ICICI etc.) to enable larger purchases and increase cart size.	↑ AOV	High – enables larger purchases and increases cart value	Medium - High	Implement Immediately

Source: Klara report, Barilliance report

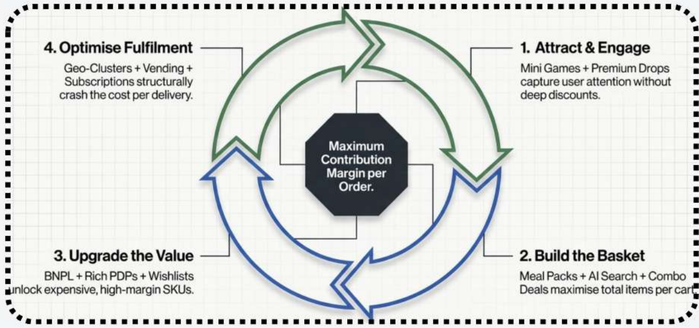
6 - MONTH EXECUTION PLAN

Sequencing from quick to long-term structural advantages:

	Categories	Timeline					
		Month 1	Month 2	Month 3	Month 4	Month 5	Month 6
Quick Wins	Premium Product Drops	**Launch Limited-Time PremiumDrops** Launch limited-time premiumdrops					
	Occasion-Based Gifting	**Rollout Curated Occasion Gifts** Rollout curated occasion gifts					
	Smart Cooking Bundles	**Deploy Smart Cooking Kits** Deploy 3-month in smart cooking bundles					
	BNPL, EMI & Bank Offers	**Scale BNPL & Offers** Scale nun to BNPL & bank offers months					
Pilot Experiments	Geo-Cluster Order		**Execute Geo-Cluster Test** Starts Geo-Cluster test to time-æper in 4-months				
	AI Intent-Based Search		**Conduct AI Intent-Search Pilot** Conduc Intent-Search pilot tostand search 4-months				
	In-App Viral Mini Games			**Launch Viral Mini-Games Pilot** Starts Viral Mini-Games tintanthar aurtarts 4-months			
Larger Bets	Campus & Society Smart Vending Machines			**Implement & Scale Vending Pilot** Starts Vending Pilot to::erestend airports 4-months			

Phase Gates:
(How we know It's working)

- **Quick Wins → AOV lifts by ₹80+ within Month 2 before scaling**
- **Pilot Experiments → Geo-cluster order density hits 1.8x baseline before full rollout**
- **Larger Bets → Vending GMV crosses 5% of zone GMV before expanding infra investment**



Metrics, Guardrails & North Star

NORTH STAR: CM2-positive order rate

% of total orders generating positive contribution margin · Baseline: 35% → 6-month target: 65%

Primary metrics by pillar

Basket Intelligence — **AOV**	₹350	→	₹430	+23%
Habitual Usage — **D30 Retention**	28%	→	40%	+43%
Density Optimisation — **DCPO**	₹55	→	₹44	–20%
Smart CAC — **LTV:CAC ratio**	1.8x	→	3.0x	+67%
Overall — **CM2 per order**	–₹8	→	+₹6–8	→ +ve

- **NPS / Customer satisfaction**
  ≥ baseline · Profitability cannot come at UX cost
- **Delivery SLA (10-min promise)**
  ≥ 92% · Per dark store, monitored weekly
- **GMV growth rate**
  ≥ 20% YoY · We build to profitability, not cut to it

"We stop buying loyalty with discounts and start earning it with value."